

Gleacher Game Tips

New Factories, DCs, and Products

- Name new factories, DCs, and products so that they are easy to identify.
- Set up new shipping agreements when starting construction on factories and DCs, and when starting development of new products. Set a reorder point for each new shipping agreement.
- Clone the shipping agreements from an existing factory when creating a new factory.
- Clone the shipping agreements associated with an existing DC when creating a new DC.
- When replacing a slower factory, schedule the old factory to shut down once the new factory is open for business.

Scheduling

- Use the scheduling feature to shut down factories, start and stop advertising, start construction of factories and DCs, and start product development.

Managing Supply and Demand

- Either set daily expenditure to something that results in reasonable throughput or shut down the factory. Never set daily expenditure to a very low amount, because it can't be changed until a batch finishes production, and setting it too low could make the factory unusable.
- To shut down a factory, set daily expenditures to 0.
- Only add incremental capital to a factory.
- Consider the tradeoffs between building a new factory or adding capital to an existing factory.
- Consider the tradeoffs between building your own DC or selling through another firm's DC.
- Consider the appropriate batch size to use for each type of factory and the effect of batch size on the supply chain. For example, cell factories are most productive at large batch sizes, but this entails holding more inventory.
- Consider the tradeoffs of speed and cost between mail and container shipping modes, and the breakeven order quantity at which one mode becomes cheaper than the other.
- Consider the tradeoffs between a point-to-point and hub-and-spoke supply chain structure given your chosen factory type, order quantity, and shipping mode.
- Use the inventory status report to identify service interruptions and build up of inventory.
- Understand why factories go idle and what to do about it.
- Understand why inventory stocks out and what to do about it.
- Use the production model and bass model spreadsheets to anticipate the effects of your actions. How do throughput and manufacturing overhead react to changes in capital and labor? How do sales react to changes in prices and advertising?
- Understand how priorities and reorder points work.
- Set reorder points to greater than 0 for active shipping agreements.
- Set the reorder point to -1 to suspend a shipping agreement without terminating.

Products and Trade

- All regions with a headquarters have **identical** markets. **Metropolis contains non-military markets that are larger than those in other regions**, as well as **four military markets**.
- Consider competing products and remaining market size when building new products.
- Make sure that each product you design or purchase contains the correct features for its intended market. Run a focus group to check before starting development.
- Make sure to select the correct market when running a focus group.
- **Do not put the key features that appeal to a high WTP market into a product intended for a lower WTP market**; it will cannibalize sales in the high WTP market. For example, including Temporal in a product meant for the Clinical Fertility or Athlete markets will cannibalize Heart View sales.
- **Do not sell two products to the same market in the same region, unless intentionally pursuing a price discrimination strategy.**
- Do not sell competitor products that compete with and undercut your own products.
- Do not sell things for less than what they cost. Consider all costs that affect the contribution margin.
- Do not sell products to competitors for a lower price than can be sold to your retail customers if you are supply constrained.
- Consider demand and supply risk when entering into trading relationships and negotiating shipping agreement terms.
- Communicate with the other team and agree on terms before sending shipping agreements.
- Remember that **sales commission and handling fees are paid by the retailer** and shipping is paid by the wholesaler. Incorporate that information in your offers.
- Include WTP information in the comments to cut down on negotiation time when sending shipping agreements to other teams.

Growth and Competition

- **Don't be shy about borrowing money and expanding**, but make sure the investments are positive NPV and your organization can manage the growth.
- Use the debt model spreadsheet to assess borrowing capacity under different scenarios.
- Don't be shy about competing head to head, but try to avoid price wars.
- Don't be afraid to advertise to compete, especially if you have a good handle on your operations.
- Choose strategic partners wisely.
- **Review financials frequently** to catch problems.
- Plan for growth in working capital.
- **Make sure there is enough cash to pay taxes at the end of each quarter.**
- The business remains a going concern after the period of active play.

Organization and Communication

- Keep a close eye on your organizational structure – it may need to change.
- Communicate with your team; make sure the left hand knows what the right hand is doing.
- Think before you act, but **don't get bogged down in overanalysis.**
- Watch the chat panel as we put tips and answer questions there, and other teams may be trying to contact you.